Tax Questions.

1. The elasticity of supply for cars is estimated to be 0.4, while the elasticity of demand for cars is -1.3. Which group would benefit more from a subsidy

a) Buyers
b) Sellers
c) Neither

Let's use the following supply and demand functions for the next 3 questions:

- Demand: $Q^D=160-5P$
- Supply: $Q^S=3P$

Suppose there is an $8 tax per unit levied in this market.

2. After the $8 tax, the buyer's price is:

A) $15
B) $20
C) $23
D) $28
E) None of the above

3. What is the Deadweight Loss due to the tax?

A) 32
B) 48
C) 60
D) 80
E) None of the above

4. Which party is more elastic, buyers or sellers?

a. Buyers
b. Sellers
c. Buyers and sellers are equally elastic
d. Government

5. A tax on which good would have the lowest deadweight loss (assume supply elasticity of these goods are similar)?

a) Rolex Watches
b) Luxury Hand Bags
c) Yachts
d) Medicine

6. At the equilibrium price, buyers' elasticity is measured at -0.23, while sellers' is 0.3. Which group will receive more of the benefit of a subsidy?

a) Buyers
b) Sellers
c) Depends on who is given the subsidy
d) Need more information

Let's use the following supply and demand functions for the next 4 questions:

Demand: $Q_D = 180 - 4P$
Supply: $Q_S = 2P$

Suppose there is a $12 tax per unit levied in this market.

7. After the $12 tax, the buyer's price is:
A) $24
B) $30
C) $36
D) $42
E) None of the above

8. What is the Deadweight Loss due to the tax?
A) 96
B) 144
C) 192
D) 288
E) None of the above

9. Which party is more elastic, buyers or sellers?
A) Buyers
B) Sellers
C) Buyers and sellers are equally elastic
D) Government

10. The government is looking to maximize its revenue from the tax in this market. Would tax revenue be higher or lower if they increase the tax to $18?
A) Higher
B) Lower
C) It would be the same

Let's use the following supply and demand functions for this question:

Demand: $Q_D = 180 - 4P$
Supply: $Q_S = 2P$

Suppose there is a $18 tax per unit levied in this market.

11. What is the Deadweight Loss due to the tax?
A) 96
B) 144
C) 192
D) 288
E) None of the above

12. A perfectly competitive market has the following demand: Q=300-10p and the supply curve is: Q=20p

Suppose the government introduces a $3 tax on each unit sold. The burden of the tax falls heavily more on the _____ and therefore that group is _____ elastic than the other group.

a) Buyers, more
b) Buyers, less
c) Sellers, more
d) Sellers, less
e) None of the above

13. The government is deciding to implement a tax on rich people, which of the following would place the highest burden on them:

a) Rolex Watches
b) Luxury Hand Bags
c) Yachts (large boats)
d) Medicine for Gout (Gout is a disease that historically affected mainly rich people)

Use the following supply and demand curve for the next 3 questions

$Q^D=100-3P$
$Q^S=2P$
There is a $10 tax per unit levied in this market.

14. After the $10 tax, the buyer's price is:

a. $30
b. $24
c. $20
d. $14
e. None of the above

15. What is the Deadweight loss due to the tax?

a. 0
b. 60
c. 120
d. 280
e. None of the above

16. Which party is more elastic, buyers or sellers?

a. Buyers
b. Sellers
c. Buyers and sellers are equally elastic
d. Government

17. Imagine the government subsidizes insulin (a good with inelastic demand and elastic supply), which party will benefit more?

a. Consumers
b. Producers
c. They will equally benefit
d. Neither

18. According to research presented in lecture, in subsidies for higher education, which group benefits more and why?

a) Sellers (the university) since they are less elastic
b) Sellers (the university) since they are more elastic
c) Buyers (the students) since they are less elastic
d) Buyers (the students) since they are more elastic
e) Both parties equally benefit

Let's use the following supply and demand functions for the next 4 questions:

- Demand: $Q^D=160-5P$
- Supply: $Q^S=3P$

Suppose there is a $16 tax per unit levied in this market.

19. After the $16 tax, the buyer's price is:

A) $10
B) $20
C) $26
D) $36
E) None of the above

20. What is the Deadweight Loss due to the tax?

A) 480
B) 300
C) 120
D) 240
E) None of the above

21. Which party is more elastic, buyers or sellers?

a. Buyers
b. Sellers
c. Buyers and sellers are equally elastic
d. Government

22. The government is looking to maximize their revenue from the tax in this market. Would tax revenue be higher or lower if they increase the tax to $20?

a) Higher
b) Lower
c) It would be the same